

Ministry of Law and Justice (Department of Legal Affairs)

Notification - New Delhi, 3rd July 2018

Section 1: Short Title and Commencement

(1) These rules may be called the Commercial Courts (Pre-Institution Mediation and Settlement) Rules, 2018.

(2) They shall come into force on the date of their publication in the Official Gazette.

Section 2: Definitions

(a) "Act" means the Commercial Courts Act, 2015 (4 of 2016).

(b) "Applicant" means a person who approaches the Authority under rule 3 for the initiation of the mediation process.

(c) "Authority" means the Authority notified by the Central Government under sub-section (2) of section 12A of the Act.

(d) "Commercial Dispute" means the commercial dispute as defined in clause (c) of sub-section (1) of section 2 of the Act.

(e) "Form" means the Form specified in the Schedule to these rules.

(f) "Mediation" means a process undertaken by a Mediator to resolve, reconcile, and settle a commercial dispute between the parties.

(g) "Mediator" means a person empaneled by the Authority for conducting the mediation.

(h) "Opposite Party" means a party against whom relief is sought in a commercial dispute.

(i) "Settlement" means the settlement of a commercial dispute arrived at by the parties to the mediation.

Section 3: Initiation of Mediation Process

(1) A party to a commercial dispute may make an application to the Authority as per Form-1 specified in Schedule-I, either online or by post or by hand, for initiation of the mediation process under the Act along with a fee of one thousand rupees payable to the Authority either by way of demand draft or through online.

(2) The Authority shall, having regard to the territorial and pecuniary jurisdiction and the nature of the commercial dispute, issue a notice, as per Form-2 specified in Schedule-I through registered or speed post and electronic means, including e-mail, to the opposite party to appear and give consent to participate in the mediation process within a period of ten days from the date of issue of the said notice.

(3) Where no response is received from the opposite party either by post or by e-mail, the Authority shall issue a final notice to it in the manner specified in sub-rule (2).

(4) If the notice issued under sub-rule (3) is not acknowledged or the opposite party refuses to participate in the mediation process, the Authority shall treat the mediation process as a non-starter and make a report as per Form 3 specified in Schedule-I and endorse the same to the applicant and the opposite party.

(5) If the opposite party, after receiving the notice under sub-rule (2) or (3), seeks further time for appearance, the Authority may, if it thinks fit, fix an alternate date not later than ten days from the date of receipt of such a request.

(6) If the opposite party fails to appear on the date fixed under sub-rule (5), the Authority shall treat the mediation process as a non-starter and make a report as per Form 3 specified in Schedule-I and endorse the same to the applicant and the opposite party.

(7) If both parties to the commercial dispute appear before the Authority and give consent to participate in the mediation process, the Authority shall assign the commercial dispute to a Mediator and fix a date for their appearance before the said Mediator.

(8) The Authority shall ensure that the mediation process is completed within three months from the date of receipt of the application for pre-institution mediation unless the period is extended for a further two months with the consent of both parties.